

APPENDIX

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-04

CHINA UNITED LINES, LTD,
COMPLAINANT,

v.

AMAZON.COM SERVICES LLC

and

AMAZON LOGISTICS INC.

and

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.

RESPONDENTS.

**DECLARATION OF JANE WANG IN SUPPORT OF
OPPOSITION TO MOTION TO DISMISS AMENDED
COMPLAINT**

I, Jane Wang, declare:

1. I am over the age of 18 years and make the following declaration upon my personal knowledge and upon the official business records of the Complainant, China United Lines, Ltd. ("China United") and its wholly-owned subsidiary, C.U. Lines Limited.

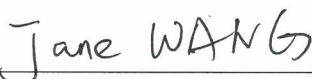
2. I offer this declaration in support of China United's Opposition to the Motion to Dismiss filed by Respondents in this action.
3. I am currently Senior Legal Manager, China United Lines, Ltd.
4. The business records of C. U. Lines, Limited. indicate that under the Service Contract referenced in the Amended Complaint:

(a) Century Distribution Systems (Shenzhen) Ltd. shipped 16,376 FEUs and 1,010 TEUs of containers with C.U. Lines, Limited, all consigned to Amazon.Com LLC.

(b) Beijing Century Joyo Courier Services Co., Ltd., shipped 7,979 FEUs and 44 TEUs of containers with C.U. Lines, Limited, all consigned to Amazon Logistics, Inc. Both Beijing Century Joyo Courier Co., Ltd. and Amazon Logistics, inc. are Non-Vessel Operating Common Carriers identified as affiliates under the Service Contract.

I hereby attest, under penalty of perjury, that to the best of my knowledge, information and belief, the foregoing statement is true and correct.

Dated: April 16, 2025



Jane WANG
Senior legal Manager
China United Lines, Ltd.

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-04

CHINA UNITED LINES, LTD,

COMPLAINANT,

v.

AMAZON.COM SERVICES LLC

and

AMAZON LOGISTICS INC.

and

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.

RESPONDENTS.

**DECLARATION OF GARY KARDIAN IN SUPPORT OF
OPPOSITION TO MOTION TO DISMISS AMENDED
COMPLAINT**

I, Gary Kardian, declare:

1. I have been retained in this matter as a consultant by China United Lines Ltd. ("China United.")
2. I am over the age of 18 years and make the following declaration upon my personal knowledge and upon the materials provided to me for review including the Amended Complaint, email correspondence between China United and Amazon, the Memorandum of Law in Support of the Motion to Dismiss with Appendices A-F.
3. I offer this declaration in support of China United's Opposition to the Motion to Dismiss filed by Respondents in this action.

4. I am currently a private consultant with my own company, Kardian Ocean Shipping Consulting LLC, from January 2023 to the present. I have attached a copy of my CV as Exhibit 1 to this declaration.
5. I am the former Director of the FMC's Office of Service and Contracts and Tariffs from 2009-2021. During my 13 year tenure at the FMC, I was involved in oversight and review of over 100,000 service contracts. I have substantial experience on this topic and while working for ocean carriers for over 35 years, I negotiated service contracts with more than 600 exporter and importer shippers.
6. I am fully familiar with the facts and circumstances of the service contract between China United and Amazon ("Service Contract") including the termination "for convenience" by Amazon on April 1, 2023, a full thirteen (13) months in advance of expiration, during the first year of a two year term, and negotiation between the parties of liquidated damages based on cargo shortfall under the Service Contract, followed by a "superseding" termination "for cause" purporting to delete the liquidated damages from the agreement. (Am. Compl. at 40-42.)
7. 45 CFR § 530.8 are regulations applicable to "Service Contracts." §530.8(b) lists "Required terms" including among others: "(4) the minimum volume or portion; (5) the service commitments, and (7) liquidated damages (if any); and (8) Duration, including the (i) Effective date; and (ii) Expiration date." All Service Contracts must meet these requirements.
8. The Service Contract was filed effective May 1, 2022, with an expiration date of April 30, 2024. The parties agreed to a Minimum Quantity Commitment ("MQC") over the 2

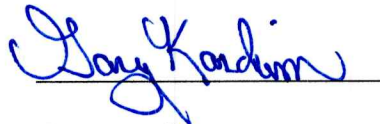
year period. In order for a Service Contract to be fulfilled, the MQC must be met. The parties may continue to ship and receive cargo under the service contract however neither party is required to either tender cargo for the shipper or to receive cargo from the carrier unless they agree to continue under the existing contract once the MQC has been met.

9. From a regulatory standpoint, viewing this Service Contract, the parties agreed to a 2-year Service Contract, the MQC was not met over this time frame and the contract lapsed or expired without the contract being fulfilled. The parties could have mutually agreed to end the contract by amendment, but no amendment was filed to address the shortfall in the MQC under the Service Contract.
10. When a service contract is terminated before the end of its original term, the FMC interprets the agency's regulations 46 C.F.R. Section 530.10 (a) as requiring the parties to file a mutually-agreed amendment providing for termination and settlement of any minimum quantity shortfall. Alternatively, if the MQC is not met and the parties do not settle liquidated damages, in accordance with FMC regulations this results in "cancellation" by default. as defined at 46 CFR 530.10 (e)(2) which provides:

"In the event of cancellation as defined in S 530.10 (a)(3): (i) Further or continued implementation of the service contract is prohibited; and (ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions."
11. Under the circumstances involved in the termination of the Service Contract at issue between Complainant and Respondents in this matter, the FMC would interpret this contract as having been "cancelled," requiring the re-rating of cargo previously carried.
12. If called to testify, I would give competent testimony to the foregoing.

I declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

Dated this 15th day of April 2025 at Baltimore, Maryland.



Gary Kardian

Kardian Ocean Shipping Consultant LLC

Gary Kardian

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gary@kardianconsulting.com

4323 Soth Avenue

Baltimore, Maryland 21236

Cell: (443) 253-2426

PROFESSIONAL EXPERIENCE:

Kardian Ocean Shipping Consulting LLC

January 2023 – Present

Started my ocean shipping consulting business after retirement from the FMC so I could assist the ocean shipping industry with my expertise on service contracts, tariffs, compliance issues, demurrage and detention, freight auditing, serve as an expert witness and provide logistical support and insight for beneficial cargo owners (BCOs) and NVOCCs which may lack knowledge of the ocean shipping industry.

Director, Office of Service Contracts & Tariffs/Bureau of Trade Analysis

June 2009 - December 2021

Federal Maritime Commission, Agency Headquarters, Washington, DC

Responsible for the oversight of the filing of service contracts and the publishing of tariffs by common carriers in the foreign commerce of the U.S., conferences of such carriers, and terminal operators, under the Shipping Act of 1984 and sections of the Ocean Shipping Reform Act of 2022.

Supervised, developed, monitored and mentored staff within the Office of Service Contracts & Tariffs (OSCT) on service contracts, tariffs, NVOCC negotiated rate arrangements and FMC regulations.

Knowledgeable regarding the Shipping Act, Foreign Shipping Practices Act of 1988, Section 19 of the Merchant Marine Act, 1920 and Cargo Preference Laws as well as FMC regulations.

Established and executed a strategy to monitor and verify the status of all 150 Vessel-Operating-Common Carriers (VOCCs) in the waterborne foreign commerce of the United States.

Developed plan to account for the 210 marine terminal operators (MTOs) involved in handling VOCC cargoes.

Provide advice, guidance and assistance to U.S. A.I.D., Department of Defense (D.O.D.) and U.S. Transportation Command (Transcom) on ocean shipping contracts, rates, services and other matters.

Collaborated with Agricultural Transportation Coalition (AgTC), National Customs Brokers and Freight Forwarders Association of America (NCBFAA), World Shipping Council (WSC), U.S. Shippers Association (USSA), National Industrial Transportation League and other major shippers, associations and ocean carriers in both Fact Finding 26 and Fact Finding 28 on Demurrage and Detention. Headed the Working Group on Retrospective Review of Service Contracts and Tariffs.

Initiated and developed program to review top 100 beneficial cargo owners (BCOs) and top 100 NVOCCs to provide market insight.

Established a review and tracking of BCO activity in east-west services to monitor and update the impact of the European block exemption repeal.

Conducted outreach to International Trade Administration, New York/New Jersey Freight Forwarders & Brokers Association, Western Connecticut International Trade Association, Baltimore Customs Brokers & Freight Forwarders Association, Foreign Trade Association of Long Beach, the Exporter Competitive Council, Shanghai

Shipping Institute, Long Beach (California) port forum on PierPass, Florida Customhouse and Brokers Association and various other shipper groups.

Responsible for the technical and administrative direction of OSCT activities and staff; plans, develops and administers programs and activities in connection with the filing of service contracts and the publishing of tariffs;

Exercises delegated authority pursuant to 46 C.F.R. 501.27(l) and (m) to approve or disapprove special permission applications; and makes written and oral recommendations to the Deputy Director, Bureau of Trade Analysis, the Director of Bureau of Trade Analysis, and as required, to the Management Director, General Counsel and the FMC.

Responsible for the overall planning and coordination of studies and projects related to a broad range of industry-related regulatory, monitoring and surveillance activities. This includes broad, expansive studies, and analyses of a wide range of issues relating to a changing regulatory environment; developing technologies, both within and without the industry; and a changing economic environment.

Handle a wide range of complex regulatory issues concerning the liner shipping industry which requires the ability to balance conflicting demands and requirements.

Coordinate and participate in agency-wide projects on a wide range of regulatory issues with multi-disciplinary professional teams, including higher level officials, attorneys, economists, industry analysts, accountants, transportation specialists, Bureau Directors, Commissioners and industry representatives.

Review written findings of ad hoc studies and industry monitoring investigations/interviews.

Helped prepare staff attorneys for expert testimony in formal proceeding before the FMC or in cases filed by the FMC in Federal Court; and coordinate with other agency components to automate OSCT's records and procedures.

Provided guidance to the MARAD Marine Highways on developing a shipper base of exporters and importers to use the Stockton to Oakland barge service.

Meet semi-annually with all three major alliances and deal with them on an individual basis throughout the year.

Interacted and as well as answer inquiries from major beneficial cargo owners (BCOs) and NVOCCs to discuss service contracts and regulations.

Presented to the Commission over 40 times at Commission meetings on a variety of topics including service contracts, tariffs, pricing, demurrage, detention, rulemakings, regulations and industry processes.

Lead person in the Bureau of Trade Analysis (BTA) for Part 520 – Carrier Automated Tariffs; Part 525 Marine Terminal Operator (MTO) Schedules; Part 530 Service Contracts; Part 531 NVOCC Service Arrangements; Part 532 NVOCC Negotiated Rate Arrangements.

Office of Consumer Affairs & Dispute Resolution Services (CADRS)

December 2021 – December 2022

Federal Maritime Commission, Agency Headquarters, Washington, DC

Served as the Export Expert for the Commission in this role to help provide guidance and an opportunity for the FMC to reach out and assist exporters on a variety of issues such as equipment, space, past due charges and to collaborate with ocean carriers in resolving ongoing problems.

Served as the demurrage and detention (D&D) expert for support of the Bureau of Enforcement in cases involving VOCCs.

Assisted both BCOs and NVOs involving complaints filed with CADRS to help move stranded shipments, pending matters for demurrage and detention against VOCCs and NVOCCs. Also helped to resolve disputes involving freight charges.

Provided guidance to the Commission on issues involving D&D as well as the FMC's Interpretive Rule.

Assistant Vice President - Baltimore District
September 1998 to May 2009
Yang Ming (America) Line, Baltimore, MD

Oversaw planning, directing and overseeing Sales, Marketing, Traffic, Operations and Customer Development in Mid-Atlantic region for Pennsylvania, Maryland, Delaware, Virginia, West Virginia and eastern North Carolina.

Supervised both Yang Ming (America) and agent, T. Parker Host, personnel in Baltimore and Norfolk offices.

Developed a territory from scratch and generated over 100 active annual service contracts with major retailers and beneficial cargo owners for export and imports.

Prepared sales and operational budgets.

Acted as a liaison with USDA and Pricing departments on food aid bids.

Worked with T. Parker Host and company to develop the Norfolk to Richmond, VA barge service taking trucks off I-64 to reduce congestion.

Designated as Safety Manager for oversight of DuPont's hazardous material shipments with Yang Ming and oversaw cyanide shipments from Memphis plant in conjunction with Burlington Northern Railroad (BNSF).

Implemented program to work with major retailers on electronic data interchange (EDI) data to streamline tracking and tracing.

Established a program with major shippers on key performance indicators (KPIs) to provide feedback and monitoring on performance.

Introduced internet printing of bills of lading to clients

Designated by Yang Ming to conduct studies on potential port calls at Philadelphia, Miami, Mobile, Portland, Baltimore and Boston. Worked with terminal operators on port operations, rail, truck and barge connections and reported to USA and Taiwan headquarter offices. Worked with Pricing and Operations on rail contracts and marine terminal service agreements.

Strachan Shipping Company/Caldwell Maritime Agencies/Hoegh Line Agencies
General Manager

General Manager in charge of 7 steamship lines: MOL, Autoliners, CSAV, Turkish Cargo Line, E.L.M.A., Atlanticargo and Hoegh Line. Analyzed data (PIERS) for sales team to assist them in developing clients.

Our office was the only non MOL-AM (Mitsui OSK) agent in the United States. Handled administration for Baltimore, Wilmington and Norfolk offices. Provided leadership, training of personnel and defining job descriptions. Hazmat certified. Responsible for the P&L of Mid-Atlantic offices. Managed a staff of 33 in Baltimore, 5 in Wilmington and 7 in Norfolk. Identified and managed cost control to promote efficiency in

operations. Responsible for budgeting and resource planning. Directed the sales force and met with U.S. headquarter offices of the carriers we represented:

1985-1992 **Trasatlantica Agency Inc.,
General Manager & Sales**

Supervised traffic, export, import, documentation, equipment and operations for 3 liner accounts - Spanish Line, Topgallant (US Flag), E.L.M.A. Line. In charge of Baltimore office and overseeing agent office in Norfolk. Responsible for all sales and customer service in Maryland, Delaware, D.C., Pennsylvania and Virginia. Negotiated stevedoring, barge and intermodal contracts. Interfaced with various government and port agencies. Represented the company at the STA-ILA container committee hearings. Primary contact for FMS bids for Spanish and Lebanese cargoes. Negotiated rail contracts with both CSX Corporation and Norfolk Southern. Negotiated barge contracts with Hale Intermodal Barge and Columbia Coastal barge companies.

1983-1985 **Costa Line Cargo Services,
Owner's Representative**

Responsible for all Costa's revenues and expenses in Mid-Atlantic. Implemented sales and marketing campaign for Maryland, Delaware, Pennsylvania and Virginia. Targeted commodity shippers such as wine, marble and household good & personal effects. Increased revenues 20% on exports & 30% on imports. Introduced a business plan to reduce equipment expenses and recover per diems. Primary contact for FMS cargoes. Assisted port captains in cargo stowage and D.C. subway car project.

1974-1983 **Ramsay, Scarlett & Co., Inc./Atlantic Container Line
Account Representative**

Started as a rate and booking clerk under contract for Atlantic Container Line (ACL). Advanced to assistant export manager within 6 months to handle rates and documentation for ACL. Promoted to Import Manager for ACL within 1 year. Streamlined staff of 12 import personnel down to 4 by eliminating duplication and improving productivity. Defined job descriptions to organize paperwork flow and have accountability.

Transferred to Marine Freight Company Division of Ramsay Scarlett in 1977 to learn chartering, trucking and warehousing operations. Appointed in 1979 as Traffic Manager for 2 liner services. Selected by upper management for the position of Account Representative to represent full line of company services.

EDUCATION:

Loyola College, Baltimore, MD – Accounting/Business Major
University of Baltimore, Baltimore, MD - B.S. in Accounting